areas in the world. International Finance Corporation (IFC), EXIM Bank and Asian Development Bank are the agencies operating at International level to meet the needs of the international finance.

3. International Capital Markets

Modern organisations including multinational companies depend upon sizeable borrowings in rupees as well as in foreign currencies. Prominent financial instruments used for this purpose are Depository Receipts.

Depositary Receipts (DRs)

A depository receipt is a negotiable financial instrument issued by a bank to represent a foreign company's equity shares or securities. They are issued to attract a greater amount of investment from other countries. Any foreign investor can invest in a foreign stock directly without worrying about differences in currency, accounting practices, or language barriers, etc.

20.04 Global Depositary Receipt (GDR)

GDR is an instrument issued abroad by a company to raise funds in some foreign currencies and is listed and traded on a foreign stock exchange.



Examples of Indian Companies that have raised funds through GDR

SBI BAJAJ AUTO WIPRO ITC
ICICI BANK GAIL Reliance infrastructure Ltd
L&T INFOSYS TECHNOLOGIES
HDFC BANK HINDALCO
MTNL TATA MOTORS

Process of Issuing GDRs

There are four steps in the process of issuing GDRs as follows.

i. The company issuing GDRs hands over its shares to one Domestic Custodian Bank (DCB).

ii. The DCB requests the Overseas Depository Bank (ODB) situated in the foreign country for issuing the shares as GDR.

iii. The ODB converts the shares shown in rupees into GDR which are denominated in US dollars.

iv. Finally, ODB issues them to the intending investors.

Features of GDR

1. It is a negotiable instrument and can be traded freely like any other security.
2. Indian companies with sound financial track of three years are readily allowed to access international financial markets through GDR. However clearances are required from the Foreign Investment Promotion Board (FIPB) and the Ministry of Finance.
3. GDRs are issued to investors across the country. It is denominated in any acceptable freely convertible currency.
4. GDR is denominated in any foreign currency but the underlying shares would be denominated in local currency of the issuer.
5. The holder is entitled to dividend and bonus on the value of shares underlying the GDR.
6. The investor can convert GDR into equity shares, and sell the shares mentioned in

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